

Multiple Choice (10 marks)

1. Even if the United States is at a comparative disadvantage in agriculture, why might it still be more efficient for the United States to specialize in agricultural production?
 - (a) Due to the availability of advanced agricultural technology
 - (b) Due to government subsidies
 - (c) Due to increasing demand for agricultural products
 - (d) Due to decreasing costs (increasing returns to scale)
2. What are the major forms of money in use?
 - (a) Gold, silver, bronze
 - (b) Cryptocurrencies, gift cards, electronic transfers
 - (c) Paper money, barter systems, digital wallets
 - (d) Bonds, stocks, commodities
 - (e) Digital currencies, credit cards, mobile payments
3. A likely cause of falling Treasury bond prices might be
 - (a) an increase in private sector investment.
 - (b) expansionary monetary policy.
 - (c) a strengthening dollar.
 - (d) fiscal policy designed to reduce the budget deficit.
 - (e) contractionary monetary policy.
4. What are the dimensions of $\hat{u}^t \hat{u}$?
 5. $k \times T$
 6. $T \times k$
 7. $T \times k \times 1$
 8. $T \times T$
 9. 1×1

A monopsonist is identified by one of the following:

- (a) A wage payment lower than the average revenue product of labor.
- (b) Employment level lower than that of a competitive labor market.
- (c) A single buyer of labor services.
- (d) Employment level greater than that of a competitive labor market.
- (e) A wage payment lower than the marginal revenue product of labor.

True / False (10 marks)

Answer True or False

6. True or False: A decrease in the price of orange juice will likely result in a leftward shift of its demand curve.
7. True or False: The measure of a firm's monopoly pricing power is represented by the formula $(P-MC)/MC^2$, indicating greater market power with a larger value.
8. True or False: Rising demand and falling supply of dollars will lead to an immediate depreciation of the dollar's value in the exchange market.
9. True or False: The market demand curve for labor will shift to the right when the number of firms in the market increases.
10. True or False: In the long run, firms in monopolistic competition earn zero economic profits due to free entry and exit in the market.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the role of the turnover tax in the Soviet economy, analyzing how it influences demand for goods and its broader implications for economic policy and consumer behavior.
12. Discuss the conditions under which a perfectly competitive firm decides to shut down operations, specifically focusing on the relationship between price and average total cost.

End of Paper